MODEL QUESTIONS

Part A

Multiple Choice Questions

1. Trade between two countries is known as ……trade

   a) External
   b) Internal
   c) Inter-regional
   d) Home

2. Which of the following factors influence trade?

   a) The stage of development of a product
   b) The relative price of factors of productions.
   c) Government.
   d) All of the above.

3. International trade differs from domestic trade because of

   a) Trade restrictions
   b) Immobility of factors
   c) Different government policies
   d) All the above

4. In general, a primary reason why nations conduct international trade is because

   a) Some nations prefer to produce one thing while others produce another
   b) Resources are not equally distributed among all trading nations
   c) Trade enhances opportunities to accumulate profits
   d) Interest rates are not identical in all trading nations

5. Which of the following is a modern theory of international trade?

   a) absolute cost
   b) comparative cost
   c) Factor endowment theory
   d) none of these

6. Exchange rates are determined in

   a) money market
   b) foreign exchange market
   c) stock market
   d) capital market

7. Exchange rate for currencies is determined by supply and demand under the system of

   a) Fixed exchange rate
   b) Flexible exchange rate
   c) Constant exchange rate
   d) Government regulated exchange rate

8. Net export equals ……

   a) Export x Import
   b) Export + Import
   c) Export – Import
   d) Exports of services only

9. Who among the following enunciated the concept of single factoral terms of trade?

   a) Jacob Viner
   b) G.S.Donens
   c) Taussig
   d) J.S.Mill

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